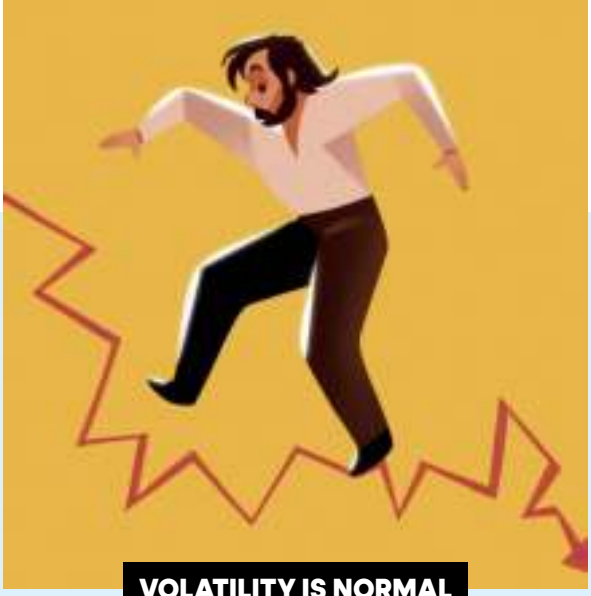

VOLATILITY IS NORMAL

Volatility in investments occurs when the stock market experiences periods of unpredictable and sharp rises and falls. Stock market volatility is inevitable and an indicator of a healthy stock market. In the long term, market indices experience fluctuations for various reasons. The price of individual stocks goes up and down over time to reflect the business's changing relevance and the impact of government policies and taxes on it. The fortunes of companies like ACC and Dr. Reddy's Laboratories have fluctuated, leading to their exit from the BSE Sensex composition over the years.

There are many other examples that one can come across in the stock markets. It is important to be comfortable with the idea of seeing the market change. Volatility is caused by a wide range of economic and political factors, from news affecting a particular industry. If you are prepared and ready for volatility at the beginning of your investment journey, then you are less likely to be surprised by short-term market events and more likely to stay focused on your long-term goals. Engaging with seasoned, expert investors can help you understand volatility and how to cope with it.

investment to suddenly seem worth more or less than it really is over the long term. Although people often think of volatility only in terms of dramatic stock price drops, it can also refer to sudden rises. So, it is really just a way of describing a market that's going through some turbulence (see *Volatility is Normal*).

The best way to cope with stock market uncertainty is to follow time-tested investing principles of asset allocation, diversification and rebalancing. You may be tempted to rush into buying or selling stocks, either to ride a wave of growth or minimise your losses. Keep your emotions in check and follow the advice of a few well-known, proven experts when making decisions. Follow a disciplined approach, such as investing in mutual funds through SIPs, which has proven to benefit investors.

Moreover, there are mutual funds suitable for different time frames and, in turn, financial goals. You can align your investments with your goals. You can also pause or temporarily stop your SIPs when you are very uncomfortable. With a clear investment review frequency, you can evaluate how your investments are faring. Historical data suggest that while most markets will experience periods of short-term volatility, they will, over the long term, maintain a steady upward path. Though past performance is not a guide to the future, staying invested can help capture as much growth as possible from the market.

WITH A PLAN, YOU WILL FEEL MORE IN CONTROL AND BETTER EQUIPPED TO MAKE SOUND, INFORMED DECISIONS DURING THESE UNCERTAIN TIMES

Stock markets are ever-evolving and globally interconnected, and changes in policy and taxation laws can impact their performance as much as shifts in currency exchange rates. Likewise, your risk-taking ability may have gone down over time. Understand these changing realities and find your comfort zone. Taking on investment risk doesn't need to follow an all-or-nothing approach. Risk is unavoidable, but managing risk is possible.

There is a lot of innovation and change in the financial industry and in regulations. Learn to stay up to date on some of these changes, especially those that will impact your life. While it is important to stay informed, constantly checking the news or watching daily stock market movements often leads to emotional decision-making.

Develop financial flexibility to move your money easily and access it when you need it. Use the digital medium and platforms that allow you to access your savings, investments, insurance and other financial instruments to have full control over. When your financial accounts work seamlessly in the background, you feel more prepared for whatever comes next. ■